

Weinberg showed up and bought 5 percent, then 9 percent, and finally 15 percent of the shares. That inspired other investors to buy shares because Mr. Weinberg was buying, and the stock hit a high of \$32 before it was marked down to \$16 in the October, 1987, sell-off. Seven months later it was back up to \$30.

The same thing happened at Storer Broadcasting, and then at Disney. Disney was a sleepy company that didn't know its own worth until Mr. Steinberg came along to goad management into "enhancing shareholder values." The company was making progress anyway. It's done a brilliant job moving away from animated movies to appeal to a broader and more adult audience. It's been successful with the Disney channel and the Japanese theme park, and the upcoming European theme park is promising. With its irreplaceable film library and its Florida and California real estate, Disney is an asset play, a turnaround, and a growth company all at once.

No longer do you have to wait until your children have children for hidden assets to be discovered. It used to be that you could sit on an undervalued situation your entire adult life and the stock wouldn't budge a nickel. These days, the enhancement of shareholder values happens much quicker, thanks to the packs of well-heeled magnates roving around looking for every last example of an undervalued asset. (Boone Pickens came to our office a few years ago and told us exactly how a company such as Gulf Oil could hypothetically be taken over. I listened to his well-reasoned presentation, then promptly concluded that it couldn't be done. I was convinced that Gulf Oil was too big to be taken over—right up to the day that Chevron did it. Now I'm ready to believe that anything could be taken over, including the larger continents.)

With so many raiders around, it's harder for the amateur to find a good asset stock, but it's a cinch to know when to sell. You don't sell until the Bass brothers show up, and if it's not the Bass brothers, then it's certain to be Steinberg, Icahn, the Belzbergs, the Pritzkers, Irwin Jacobs, Sir James Goldsmith, Donald Trump, Boone Pickens, or maybe even Merv Griffin. After that, there could be a takeover, a bidding war, or a leveraged buyout to double, triple or quadruple the stock price.

Other sell signs:

- Although the shares sell at a discount to real market value, management has announced it will issue 10 percent more shares to help finance a diversification program.
- The division that was expected to be sold for \$20 million only brings \$12 million in the actual sale.
- The reduction in the corporate tax rate considerably reduces the value of the company's tax-loss carryforward.